

Also noteworthy: These columns came out years *after* Luskin's mutual fund closed with disastrous losses in 2001.³²⁸ No wonder *Money* magazine went under. If its readers followed Luskin's advice, they could no longer afford the \$5 each copy cost.

The lesson for investors is clear: Avoid the *ministers without portfolios*. Those commentators who are on the sidelines, not responsible for client assets—and don't have to answer for their radical underperformance—whose priorities and agendas are not your financial well-being.

People active in party politics—donors, organizers, true believers, and activists—shouldn't be allowed anywhere near your investment portfolio or your psyche. The reverse is also true: Anyone running money should avoid party politics since it leads to a lack of the objectivity and dispassion needed to do the job well. Politics is a huge distraction; it is rarely compartmentalized and typically leads to ill-considered emotional decision-making.

Berkeley professor of economics Brad DeLong called Luskin “the stupidest man alive” in December 2005.³²⁹ I think that might be too harsh. Luskin is actually an intelligent fellow, but his political bias has consistently led him to the wrong conclusions at precisely the wrong moment in time. Nobody has suffered more due to his inability to manage his limbic system than the folks who read his columns and followed his emotional advice. They paid the price for his lack of objectivity.

I keep repeating this, but only because it is so true: *Politics and investing do not mix*.



If mixing politics and investing is bad, what do you think occurs when investors change their portfolio allocations based on whether their preferred candidate wins a presidential election (or not)? Let's find out.

³²² Donald Luskin, “Quit Doling Out That Bad-Economy Line,” *The Washington Post*